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Official says bookstore's owner owes $150K

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(*#_Company_Name_#*) BERKELEY, Calif. -- The national corporation that operates the campus bookstore at the University of California at Berkeley is refusing to pay its $150,000 utility bill, threatening to send the ASUC Auxiliary into the red, officials said Tuesday.

Follett Corporation is refusing to pay its utilities because it disputes how the ASUC Auxiliary calculates the bill, said ASUC Auxiliary Director Tom Cordi.

Cordi speculated Follett stopped paying its monthly bills because it thinks the $150,000 charged by the ASUC Auxiliary is excessive.

The company maintains it does not owe the ASUC Auxiliary any money.

"According to our records, all bills that we received have been paid," said Follett spokesperson Cliff Ewert.

Follett is violating the conditions of its lease by refusing to pay, Cordi said Tuesday at the ASUC Store Operations Board meeting.

"Technically, they've been in violation of the contract," Cordi said.

The ASUC Auxiliary will face its first deficit in six years if Follett does not pay its bill, Cordi said.

Based on a midyear projection of this fiscal year, the ASUC Auxiliary could incur a debt of $73,000 if the bill goes unpaid.

This cost will have to be covered by the ASUC Auxiliary's long-term investment fund, which can cover up to $150,000, Cordi said.

The contract between Follett and the ASUC Auxiliary is in no real danger, however, because Follett annually brings in at least $1.75 million, Cordi said.

Hoping to resolve the situation, the ASUC Auxiliary submitted a compromise to Follett in December, Cordi said, declining to elaborate further.

The ASUC Auxiliary offered the compromise after it hired an energy consultant to assess the company's utility costs, Cordi said.

Cordi said much of the disagreement stems from the way energy use is calculated in the Martin Luther King, Jr. Student Union, the building that houses the bookstore.

The ASUC Auxiliary, which maintains the student union, receives one utility bill for the entire building. It divides that among its tenants based on estimated energy use.

Because of the bookstore's cash registers, computers and other utilities, it uses up more energy than most of the other tenants, Cordi said.

Follett, however, disputes this method of calculation, Cordi said.

"They want to use a strict square footage formula," he said. "There's not like a meter down there. It is quite complex."

Despite Cordi's assertion that Follett has yet to pay its utility bill, the Illinois-based corporation said it was unaware of any conflicts existing between it and the ASUC Auxiliary.

"If there are concerns, we will resolve them directly with the university," Ewert said.

Cordi said although the ASUC Auxiliary's proposal to Follett has gone unanswered, he expects to settle the problem within several weeks.

The ASUC Auxiliary could be forced to explore legal options if Follett does not respond to the ASUC Auxiliary within that time, said ASUC President Jesse Gabriel.

"It sounds like it's something that everyone's willing to compromise on so I don't think [taking legal action is] something that will come up," Gabriel said.

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